

- [UTB: Understand the business](#)
- [1 Information necessary to obtain our understanding of the business](#)
- [1.1 Nature of the entity and its environment](#)
- [1.2 Related party relationships and transactions](#)
- [1.3 Risks to the entity's ability to continue as a going concern](#)
- [1.4 The role of IT in the entity](#)
- [1.5 Understand the nature of the group and its environment, including the group organizational structure](#)
- [2 How we obtain our understanding of the entity and its environment](#)
- [1.1.6 HR policies and practices](#)
- [2.1 Understand operations at components](#)
- [3 Determine risks of material misstatement](#)
- [4 Determine significant risks](#)
- [4.1 Assess risks of material misstatement of the group financial statements](#)
- [5 Relate inherent risks, including significant risks, to the financial statements](#)
- [Documentation](#)
- [Enablement](#)
- [Appendix 1 Categories of information for understanding key market forces and other key environmental factors](#)
- [Appendix 1.1 General and industry-specific economic trends and conditions](#)
- [Appendix 1.2 Competitive environment](#)
- [Appendix 1.3 Customer information](#)
- [Appendix 1.4 Supplier information](#)
- [Appendix 1.5 Technological advances and the effect of the internet](#)
- [Appendix 1.6 Return on capital, treasury and financing](#)
- [Appendix 1.7 Social and political factors](#)
- [Appendix 1.8 Taxation matters](#)
- [Appendix 2 Examples of considerations when obtaining an understanding of the nature of the entity](#)
- [Appendix 3 Business objectives, strategies, critical success factors and expectations of key stakeholders](#)
- [Appendix 3.1 Expectations of key stakeholders](#)
- [Appendix 4 Measurement and review of the entity's financial performance](#)
- [Appendix 5 Examples of conditions and events that may indicate risks of material misstatement](#)

Purpose

We obtain an understanding of the entity and the environment in which it operates by performing a number of audit procedures, including reviews of relevant information, inquiries, analytical procedures, observations and inspections.

Our understanding of the entity and its environment helps identify risk factors. We determine whether the risk factors we identify are inherent risks (i.e., that may give rise to risks of material misstatement in the financial statements). If so, we determine the effect these risk factors have on our inherent risk assessment for the financial statements as a whole, individual accounts and disclosures and the relevant assertions. In addition, we determine if any of the inherent risks are significant risks.



Understanding an entity and its environment is key to planning and executing an effective risk-based audit. We obtain our understanding during audit planning and update it at the team planning event (TPE), the post interim event (PIE) and throughout the performance of the audit to the extent that changes affect our overall audit strategy or the nature, timing and extent of our audit procedures.

Our understanding of the entity and its environment helps to:

- Determine planning materiality
- Identify classes of transactions, significant accounts and disclosures and relevant assertions
- Assess risks of material misstatement within the financial statements
- Respond to the assessed risks of material misstatement, including designing and performing tests of controls (when applicable) and substantive procedures to obtain sufficient appropriate audit evidence
- Develop expectations when performing substantive analytical procedures
- Determine whether evidence obtained, including management's assumptions and management's oral and written representations, is appropriate.

1.1a Industry, legal and regulatory framework and other external factors

We obtain a general understanding of the industry or sector in which the entity operates, the legal and regulatory framework applicable to the entity, including how the entity complies with that framework, and other external factors.[2](#)

Industry factors

The entity may face certain risk factors based on the industry sector in which it operates, the nature of the entity or the degree of regulation. Based on the risk factors identified, we consider involving an audit team member with sufficient relevant knowledge and experience in making risk assessments (as outlined in SPECIALIST).

Refer to UTB Appendix 1.

Legal and regulatory framework

Understanding the legal and regulatory framework in which the entity operates, and how the entity complies with it, helps identify risks of material misstatement to the financial statements from non-compliance with laws and regulations.

To obtain our understanding of the legal and regulatory framework in which the entity operates and to help identify instances of non-compliance with laws and regulations we:[3](#)

- Obtain an understanding of the laws and regulations that have a direct effect on the reported amounts and disclosures in the financial statements
- Obtain an understanding of the entity's policies and procedures regarding compliance with laws and regulations
- Inquire of management, and when appropriate, those charged with governance, as to whether the entity is in compliance with laws and regulations that may have a material effect on the financial statements
- Inspect correspondence, if any, with any relevant licensing or regulatory authorities

[4](#) When we suspect that the entity is not in compliance with laws and regulations, we discuss this with management (at the level above those involved with the suspected non-compliance, if possible) and, when appropriate, with those charged with governance as soon as practicable.

Refer to LAWS+REGS.

Other external factors

We obtain an understanding of other external factors that may affect the nature of the entity and its environment, such as competitors, general economic conditions, interest rates, availability of financing, inflation or currency revaluation. Due to the increasing globalization of business, external factors extend beyond the domestic environment.

1.1b Nature of the entity

To enable us to understand the classes of transactions, account balances, and disclosures to be expected in the financial statements, when we obtain an understanding of the nature of the entity, we obtain an understanding of:[5](#)

- Its operations

- Its ownership and governance structures
- The types of investments that the entity is making and plans to make, including investments in special-purpose entities, non-consolidated entities or joint ventures
- The way that the entity is structured and how it is financed

This understanding helps us identify risks of material misstatement of the financial statements and, in integrated audits, risks related to an entity's internal control over financial reporting.

We use our understanding of the entity and its environment to determine if significant transactions outside the normal course of business exist and the effect they have on the classes of transactions, account balances, and disclosures in the financial statements.

Refer to UTB Appendix 2.

1.1c Selection and application of accounting policies

We obtain an understanding of the entity's process for the selection and application of accounting policies, in particular those accounting policies for which judgment is used in their application (i.e., estimates), as well as policies for recording revenue.

We understand the reasons for changes to accounting policies.

We evaluate whether the entity's accounting policies are appropriate for its business and consistent with the applicable financial reporting framework and accounting policies used in the industry in which the entity operates.[6](#)

The selection and application of accounting policies is a matter of management judgment in light of the entity's operations, the relevant accounting framework, the regulatory environment and industry practices. We use our understanding of the entity's selection and application of accounting policies to help identify possible risk factors.

- Financial reporting standards and laws and regulations that are new to the entity, including when and how the entity will adopt such requirements
- Accounts or disclosures for which judgment is used in the application of the accounting principles, especially when determining significant estimates and assumptions
- The financial reporting competencies of personnel involved in selecting and applying significant new or complex accounting standards
- The degree of estimation uncertainty associated with an accounting estimate. Refer to ESTIMATES.

Disclosures in the financial statements of smaller, non-complex entities may be less detailed or less complex, e.g., because some financial reporting frameworks permit such entities to provide fewer disclosures. However, we are still required to obtain our understanding of the entity and its environment, including internal control, as it relates to disclosures.

In some circumstances, management may decide voluntarily to change an accounting policy. We evaluate a proposed change in accounting policy to determine whether:

- The proposed accounting policy is generally accepted
- The method of accounting for the effect of the change is in accordance with the applicable financial reporting framework or industry practice
- The disclosures related to the accounting change are adequate
- The entity has justified that the alternative accounting policy is preferable

CONSULTATION REQUIREMENT

We are required to consult with the PPD if management proposes a voluntary change in accounting policy.[7](#)

If we conclude that the change in accounting policy is unacceptable, we evaluate the effect of the change as a misstatement in accordance with MISSTATE.

1.1d Objectives, strategies and business risks

We obtain an understanding of the entity's objectives and strategies and those related business risks that may result in risks of material misstatement.[8](#)

Objectives and strategies

Objectives are an entity's overall plans. Strategies are the approaches management uses to pursue its objectives. The entity defines objectives and determines strategies in response to influences from the industry, the legal and regulatory framework and other external factors. Objectives and strategies may change over time as circumstances do.

The selection of, and way of implementing, objectives and strategies gives rise to business risks. Management may choose a combination of objectives and strategies that minimize risk to the business or, conversely, maximize risk for greater return.

Refer to UTB Appendix 3.

Business risks

Entities face business risks throughout the performance of their operations. Such risks may arise from change, complexity or failure to recognize the need for change.

Understanding the entity's business risks increases the likelihood of identifying risks of material misstatement, since many business risks have financial statement consequences. However, we do not have a responsibility to identify or assess every business risk because they do not all cause a risk of material misstatement of the financial statements.

Some business risks only affect the way the entity operates, while others may also affect what is recorded in the financial statements.

A business risk may have longer term consequences that do not affect the accounts and disclosures in the current period financial statements. However, we consider this business risk as we consider the entity's ability to continue as a going concern.

Refer to GOING CONCERN.

1.1e Measurement and review of the entity's financial performance

We obtain an understanding of how management measures and reviews the entity's financial performance.[9](#)

For listed entities, we also obtain an understanding of analysts' expectations of the entity's financial performance.[10](#)

Analyst consensus estimates for an entity may be obtained on finance websites or from LYCA Knowledge. Our understanding of such estimates is not to obtain a precise prediction of the most likely result for the entity, but rather to understand their general nature (i.e., what the analysts are tracking, such as EPS, revenue, EBITDA), and whether this may affect management's motives when determining accounting estimates and management's decision as to whether to record misstatements brought to its attention.

Management and others measure and review performance indicators they regard as important to monitor whether the entity is meeting its objectives. Performance measures, whether external (from analyst expectations) or internal (such as critical success factors), create pressures on the entity. Such pressures may motivate management to take action to improve the business performance or to misstate the financial statements. This increases risks of material misstatement, including those due to fraud.

Understanding the entity's performance measures helps us determine whether management is under pressure to achieve targets.

Internal performance measures may highlight unexpected results or trends requiring management to determine their causes and take corrective action (including, in some cases, the detection and correction of misstatements on a timely basis). Performance measures may also indicate risk factors that give rise to risks of material misstatement of related financial statement information. If our inquiries of management indicate there are no processes to measure and review financial performance, the likelihood of material misstatements not being detected and corrected increases. The processes and procedures (or lack thereof) that management uses to measure and review performance are considered as part of our understanding of entity-level controls – refer to ELC.

Refer to UTB Appendix 4.

1.1f Composition and changes in financial information

We read the entity's financial information and perform analytical procedures, considering non-financial information, to look for indicators of risk factors, whether due to fraud or error by:[11](#)

- Obtaining an understanding of the composition of the balance sheet as well as the nature and volume of revenues and related expenses

- Identifying the existence of unusual transactions, events, amounts, ratios or trends, performance indicators or financial relationships
- Identifying the absence of expected changes or fluctuations

We pay particular attention to revenue with the objective of identifying unusual or unexpected changes in revenue or related accounts.[12](#)

We perform analytical procedures on financial and non-financial information (e.g., the relationship between sales and square footage of selling space or volume of goods sold) as risk identification and assessment procedures to obtain an understanding of the entity.

Our analytical procedures may use data aggregated at a high level and therefore the results only provide an initial indication about whether a risk factor exists.

Our procedures usually involve comparisons of the recorded balances to other information or using ratios or other independent relationships to evaluate if the recorded amounts make sense. We normally have general expectations about how the current period amounts may compare with the prior period amounts based on our understanding of the entity, its industry and the current economic environment.

We consider fluctuations:

- On an account by account basis
- Between groups of related accounts
- Within and between financial statements (e.g., between the income statement and the cash flow statement)
- Within the financial statements as a whole, including a comparison of narrative disclosures and non-financial information with movements in individual accounts, group of accounts or financial statements

We are careful not to limit our considerations of fluctuations to an account-by-account basis. We also consider individual account fluctuations in combination with fluctuations in related accounts. By considering fluctuations in combination, and the explanations for those fluctuations provided by management, we are better able to identify matters for further investigation.

When we perform analytical procedures, we are alert to the absence of expected changes or fluctuations. Additionally, as revenue recognition issues are frequently the source of identified instances of fraud, we evaluate whether unusual or unexpected relationships with revenue accounts indicate risks of material misstatement due to fraud or error.

Given the wide variety of information and multitude of ratios that may be calculated, it is important to focus on those relationships that are key to our understanding of the entity and its environment and to the identification of risks of material misstatement.

Unusual fluctuations identified in our overall analytical procedures are evaluated to determine changes in the nature, timing and/or extent of our substantive procedures in a particular audit area.

[13](#) When we have performed a review of the entity's interim financial information, we may be able to use the analytical procedures applied in that review to accomplish the objectives of analytical procedures as risk assessment procedures.

Refer to UTB Appendix 4.

We perform procedures to obtain information about related party relationships and transactions that may give rise to risks of material misstatement.[14](#)

Refer to RPT for further guidance.

When we obtain an understanding of the entity and its environment, we consider whether there are events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. In doing so, we determine whether management has already performed a preliminary assessment of the entity's ability to continue as a going concern.[15](#)

Refer to GOING CONCERN for further guidance.

In understanding the entity and its environment, we obtain an understanding of the role of IT in the entity, including IT complexity.[16](#)

Refer to IT 1 for further guidance.

For further requirements and guidance, refer to GROUP UTB [1](#).

We obtain an understanding of the entity and its environment by performing a combination of the following risk assessment procedures:[17](#)

- Read relevant information
- Inquire of:
 - Management and those responsible for financial reporting
 - Appropriate individuals within the internal audit function
 - Others in the entity who may have information that is likely to assist in identifying risks of material misstatement due to fraud or error
- Perform analytical procedures on financial and non-financial information
- Observation and inspection

In addition to these risk assessment procedures, we:

- Determine whether information obtained from our client and engagement acceptance and continuance procedures is relevant in identifying risk factors[18](#)

- Determine whether the partner in charge of the audit has performed other engagements for the entity, including reviews of interim financial information, and if so, whether he or she considers that information obtained from those engagements is relevant in identifying risk factors¹⁹
- Document the sources of information²⁰

Our previous experience with the entity and audit procedures performed in previous audits may provide us with information about the entity.

We also understand the nature of other services, including reviews of interim financial information, that LYCA and its affiliates perform for the entity (not just other engagements performed by the partner in charge of the audit) and take into account any relevant information obtained from those engagements when identifying risk factors.²¹

Information gathered as part of annual independence procedures and as part of the audit committee pre-approval process may help us obtain an understanding of the other services provided by LYCA and its affiliates. The audit team applies professional judgment when evaluating whether provision of other services may result in information relevant to our assessment of risk factors and the extent of information needed from those engagements to inform our risk assessments.

For further information about ethical requirements, including independence, refer to ENGAGE.

We perform a combination of the following procedures to obtain an understanding of the entity and its environment to identify risk factors:

Read relevant information – We obtain an understanding of the entity and its environment by reviewing relevant information and using our understanding of management’s risk assessment process (refer to ELC 1.2). This helps obtain an understanding of the entity and its environment and identify risk factors.

Inquiries of management and of others within the entity – We obtain information by making inquiries of management and those responsible for financial reporting. Such inquiries enhance our understanding of the entity’s operations that we obtain from analysis of the entity’s financial information. We use our knowledge of the entity and its environment, as well as information from other risk assessment procedures, to determine the nature of the inquiries.²²

- We may also inquire of others within the entity with different levels of authority to obtain additional information or a different perspective as we identify risk factors.
- We also make inquiries of appropriate individuals within the internal audit function whether or not we expect to use their work. Appropriate individuals are those who, in our judgment, have the appropriate knowledge, experience and authority (e.g., Chief internal audit executive).

If the internal audit function provides information to the auditor regarding any actual, suspected or alleged fraud, we take this into account in our identification of factors that may give rise to risks of material misstatement due to fraud.

From our inquiries of the internal audit function, we determine whether their findings may be relevant to our audit.

When our inquiries of the internal audit function indicate findings relevant to the entity's financial reporting and our audit, we read the related reports of the internal audit function.[23](#)

It is not necessary to read every report. We determine those that hold matters that are important to the audit.

We may identify these reports through reading the executive summary or from reading the minutes of meetings of those charged with governance where the reports are presented.

In addition, depending on the circumstances, when there are several reports relating to the same topic or area of focus, we may determine it appropriate to select a sample of these to read to understand the nature and extent of procedures performed and related findings.

If, as a result of our inquiries of the internal audit function or our reading of internal audit reports, we become aware of information regarding any actual, suspected or alleged fraud, we take this into account when identifying risks of material misstatement due to fraud.

Analytical procedures on financial and non-financial information – We perform analytical procedures on financial and non-financial information as risk assessment procedures to obtain an understanding of the entity and its environment. Analytical procedures may help identify the existence of unusual transactions or events, amounts, ratios and trends that might indicate matters that have audit implications such as possible risks of material misstatement. We direct our procedures to respond to those risks (refer also to UTB 1.1f).

Observation and inspection – We perform observation and inspection procedures to support our understanding of the entity and its environment obtained through review, inquiries and analytical procedures.

HR policies and practices relate to hiring, orienting, training, evaluating, counselling, promoting and compensating people. The effectiveness of policies and procedures, including controls, is generally dependent on those who execute them.

In addition, the level of competence and integrity of the personnel concerned is one of the factors we take into account in evaluating the effectiveness of the controls over specific processes.

For further requirements and guidance, refer to GROUP UTB 1.2.

When we obtain an understanding of the entity and its environment, we identify risk factors, including business risks. We determine whether these risk factors are inherent risks (i.e., risks of material misstatement before consideration of any related controls).[24](#)

As we obtain our understanding of the entity, we identify risk factors, including business risks. Not all identified risk factors affect the financial statements: we focus only on those that may give rise to risks of material misstatement in the financial statements.

Refer to UTB Appendix 5 for further guidance.

When we identify risk factors, we also consider whether there are elements that reduce the potential for risks of material misstatement.

If we determine that risk factors are inherent risks, we use this information when we obtain an understanding of management's risk assessment process in ELC 1.2.

Also refer to CRA for guidance on assessing inherent risks when determining our combined risk assessments.

We evaluate inherent risks to determine whether any of these inherent risks are, in our judgment, a significant risk.[25](#)

As shown in the graphic below, a significant risk is an inherent risk with a higher likelihood of occurrence and a higher magnitude of potential misstatement in the financial statements:

Assessment of inherent risk



A higher likelihood of occurrence arises when we believe there is a greater probability that a risk will occur. The magnitude of potential misstatement is assessed by reference to planning materiality.

We exercise professional judgment in evaluating which risks are significant risks. We consider at least the following when assessing the likelihood and magnitude when determining whether an inherent risk is a significant risk:[26](#)

- The complexity of transactions
- Whether the risk is related to recent significant economic, accounting or other developments
- Whether the risk involves significant transactions with related parties within the normal course of business
- The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of estimation uncertainty
- Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual

Examples of these considerations include:

- Whether the risk is related to recent significant economic, accounting or other developments
- The complexity of transactions
- Whether the risk involves significant transactions with related parties
- The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of estimation uncertainty
- Whether the risk involves a significant transaction or transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual

We determine inherent risks to be significant when we identify:[27](#)

- Risks of material misstatement due to fraud
- Significant transactions with related parties that are outside the normal course of business for the entity

Refer to RPT for guidance relating to related party transactions.

For significant risks, we are required to understand and assess the design and implementation of the entity's controls relevant to each risk. We obtain this understanding regardless of whether we plan a controls reliance strategy.

When we communicate key audit matters (or a jurisdictional equivalent) in our auditor's report, matters related to significant risks are often key audit matters. We consider the significant risks that we have determined in our preliminary assessment of key audit matters in TEAM-EVENTS 2. Refer to:

- CONTROLS 2.2a for requirements and guidance related to controls mitigating significant risks.
- SCOTS 5.4 for requirements and guidance related to significant risks.
- CRA 1.4 for further requirements and guidance related to a relevant assertion that is affected by a significant risk.
- COMMS 3.1 for further requirements and guidance related to communicating significant risks to those charged with governance

For further requirements and guidance, refer to GROUP UTB [2](#).

We relate inherent risks, including significant risks, to the overall financial statements or to the individual assertions for significant accounts and disclosures.[28](#)

Relating inherent risks to the financial statements or to the individual assertions for significant accounts and disclosures helps us in designing and executing a risk based audit strategy, including:

- Identifying significant accounts and disclosures
- Making inherent risk assessments for each relevant assertion
- Designing audit procedures

Key components of our documentation include the description of risk factors and characteristics we used in determining inherent risks, including significant risks.

We complete the relevant sections of the *Audit planning template (APT)*. [29](#)

Documentation of our understanding of the entity includes:

- The nature of the entity and its environment, including:[30](#)
- Relevant industry, legal and regulatory framework and other external factors
- The entity's operations, ownership, governance structures, types of investments and the way the entity is structured and how it is financed
- The entity's selection and application of accounting policies, including the reasons for changes thereto
- The entity's objectives and strategies

- The measurement and review of the entity's financial performance
- Related party relationships, including their names, and transactions – refer to RPT[31](#)
- Our understanding of the risks to the entity's ability to continue as a going concern

Refer to GOING CONCERN[32](#)

- The role of IT in the entity including IT complexity [33](#)
- Conclusions (such as risks of material misstatement or the effects on our audit procedures) arising from the overall analytical procedures, including financial and non-financial information, in particular, those relating to revenue, in our audit strategy documentation (i.e., the *Audit planning template (APT)* or *Audit strategies memorandum (ASM)*)[34](#)
- The sources of information from which the understanding of the entity was obtained regarding the above-mentioned elements, including the names of individuals to whom we spoke[35](#)
- The inherent risks, including significant risks, and their effect on the financial statements[36](#)
- For listed entities, we document analysts' expectations for the entity[37](#)

[GROUP] In a group audit, the Primary Team documents the group organizational structure.[38](#)

Recurring audits:

For recurring audits, we document significant changes since the end of the previous audit and their effect on our audit strategy in our audit strategy document (i.e., the *Audit planning template (APT)* or *Audit strategies memorandum (ASM)*).[39](#)

Refer to the following LYCA Atlas auditing topic page for additional enablement, including forms, and external standards related to this LYCA AM topic:

- *Significant risks*
- *Understand the business (UTB)*

This appendix contains further guidance and examples with respect to categories of information we may use to understand the key market forces and other key environmental factors to identify any risk factors (UTB 1.1a) and examples of analytical procedures (UTB 1.1f).

We obtain an understanding of the key economic trends and conditions (which may be specific to the industry or general in nature) that directly affect the entity and its environment. These trends and conditions generally have significant effects on the entity's present performance and likely future trends, and thus the entity and its environment. These trends and conditions may give rise to risks of material misstatement and may affect our combined risk assessments. Economic trends and conditions can also explain changes in the entity's operations or provide indicators as to why specific problems exist within the entity's business.

In obtaining an understanding of the business, we may decide to use analytical procedures to monitor industry or economic indicators that we believe may have an effect on the performance of the entity.

We may obtain an understanding of the entity's competitive environment and significant changes in it. The competitive environment has a significant effect on the entity's performance and future trends, and thus the entity and its environment and may give rise to risks of material misstatement in the financial statements.

We consider items such as the following in assessing the effects of the competitive environment on the entity:

- What products and/or services does the entity sell, and have there been significant changes with respect to:
 - Major products and/or services?
 - Major brands?
 - Product innovations and/or introductions?
 - Selling strategies using the internet?
 - The entity's sales/gross margin by product and/or service categories?
- Who are the entity's most important competitors, and what share of the market does each hold?
- Are these market shares stable, and if not, what has caused the change(s) (e.g., competitive advantage, acquisitions or mergers, new entrants)? Are there expected changes in the market share resulting from competitors' actions or management strategies?
- In what stage of business evolution are competitors (e.g., start-up, rapid growth, mature/cash generator, or declining)?
- What are the competitors' profiles, such as:
 - Geographic locations of facilities and markets?
 - Market position?
 - Product lines?
 - Spending on research and development?
 - Financial condition?
 - Major strategies and recent initiatives?
 - Major strengths, including leading practices, and weaknesses?
- How are various products or services, and the competitors that provide them, differentiated in the market (e.g., by price, quality, service)?
- How does the entity and its competitors influence demand?
- Are competitors experiencing financial or operating problems, and could the entity become subject to the same problems?
- What is the effect on the entity of potential new entrants into the market? How easy is it for new entrants to enter the market?
- Are substitute products and/or services likely to affect the entity's business?
- How can these competitive pressures affect the entity's business operations and financial statements? What are competitors' activities?
- How does the entity manage the effects of market forces on its business/operations (strategies and processes)?

We obtain an understanding of the entity's customer base through discussions with sales and marketing personnel, review of industry data, customer service information, and sales data. This understanding may help us to better understand the entity and the environment in which it operates, as well as risks of material misstatement.

We consider items such as the following:

- Are there specific customers, including unified buying groups, on which the entity is highly dependent (e.g., are there customers that account for more than 10 percent of the entity's sales)?
- Are there customers who are related parties to the entity or each other? Are there different terms of sales with these customers?
- Are there certain customers, or types of customers (e.g., customers in a declining market), that pose high collectability risks?
- What is the overall profile of the entity's customers, including significant or unusual customer requirements (e.g., bill-and-hold transactions, customer deposits, and large/small buyers)?
- What are the key product and/or service attributes valued by customers, and customers' perceptions of the entity's responsiveness to these attributes?
- Have there been significant fluctuations in the entity's customer base, and if so, what factors are driving this fluctuation (e.g., new market participants, new products, faulty or low-quality products)?

Suppliers have varying degrees of influence on an entity and its environment and thus may give rise to risks of material misstatement.

We consider the following in updating our understanding of the major suppliers and the products/services they provide to the entity:

- Who are the key suppliers?
- What are the suppliers' profiles, such as:
 - Types of products supplied?
 - Geographic location of factories?
 - Market position?
 - Product lines?
 - Spending on research and development?
 - Financial condition?
 - Major strategies and recent initiatives?
- Is the quality of the products/services provided by the suppliers consistent with the entity's requirements for satisfying its customers?
- Do the suppliers provide products/services on time and at competitive prices?
- Are the sources of raw materials reliable, and are the materials subject to significant price movements?

Understanding the key technological issues and trends affecting the entity and its environment provides additional information regarding the entity's technology strategies and its potential risks of material misstatement. We consider the following:

- How does the industry use technology?
- What effects do e-commerce and the Internet have on the industry?
- What technological advances are expected to change the industry?
- Are there any technological trends sweeping through the industry? If so, what effect will they have on the entity (e.g., investment required, cost savings, improved supplier relationships, reduction in the number of intermediaries in the supply chain)?
- What is the rate of technological change and technological obsolescence?

Most entities have objectives related to return on invested capital and short-term versus long-term financing. We obtain an understanding of these objectives and how they affect the entity and its environment and may give rise

to risks of material misstatement, as well as how well the entity is achieving these objectives, from discussions with management and review the entity's financial plans and analysts' reports.

We consider the following:

- What is the entity's position in the capital markets compared with its competitors' positions?
- Are new capital investments necessary as a result of technological changes, or for replacement or new capacity requirements?
- Is obtaining funds for growth, new assets, and other business needs an issue?
- What types of financial instruments does the entity employ for financing? Are they similar to those its competitors use? How is the entity using these instruments? Are they consistent with the entity's risk strategies?

Many entities are affected by social and/or political factors, depending on their industry, market segment, or geographic area. Special interest groups and labor unions are examples of organizations with social and/or political agendas. We obtain an understanding of how such factors may affect or have affected the entity (e.g., the entity's philosophy regarding social responsibility, labor relations, the environment, health, and safety), and the entity's approach to addressing these factors. We determine whether these factors give rise to risks of material misstatement and may affect our CRA

Understanding tax matters and how management addresses them provides additional information regarding tax strategies and other potential financial statement effects. We consider the following:

- Does management take aggressive positions on tax matters?
- Have we considered the effects of changing tax regulations on the financial statements and proactively provided suggestions regarding these matters and other opportunities affecting the entity?

Have we considered prior history on tax issues and the tax implications of the entity's business strategies, including the overall financial statement effects of tax strategies and issues?

This appendix contains examples of matters we consider when we perform procedures to obtain an understanding of the nature of the entity (UTB 1.1).

Nature of the entity

Operations

Examples

- Nature of revenue resources, products or services, and markets, including involvement in electronic commerce (e.g., internet sales and marketing activities)
- Conduct of operations (e.g., stages and methods of production) or activities exposed to environmental risks
- Alliances, joint ventures and outsourced activities

Nature of the entity**Examples**

- Geographic dispersion and industry segmentation
- Location of production facilities, warehouses, offices and location and quantities of inventories
- Key customers and important suppliers of goods and services, employment arrangements (including the existence of union contracts, pension and other post-employment benefits, stock option or incentive bonus arrangements and government regulation of employment matters)
- Research and development activities and expenditures
- Transactions and relationships with related parties
- Ultimate owners (local, foreign, business reputation and experience) and related parties
- Major subsidiaries and associated entities, including consolidated and non-consolidated structures

Ownership, governance, organizations structure and financing

- The structure of the entity (i.e., whether the entity's structure is overly complex for the nature of the business as a result of tax planning or for reasons that may be not apparent)
- Debt structure and related terms, including off-balance-sheet financing arrangements and leasing arrangements
- Use of derivative financial instruments
- Planned or recently executed acquisitions or divestitures

Types of investments, including investments in special-purpose entities

- Investments and dispositions of securities and loans
- Capital investment activities
- Investments in non-consolidated entities, including partnerships, joint ventures and special-purpose entities

Special Purpose Entities

When we obtain an understanding of the nature of the entity and its environment, we are aware of the risks of material misstatement in the financial statements caused by existence of special-purpose entities. A special-purpose entity is created on behalf of the entity, while the funding of the special-purpose entity may be provided by other parties.

In obtaining understanding of the business, special-purpose entities require special attention for the following reasons:

- Special-purpose entities may be related parties
- Special-purpose entities may require consolidation

We obtain a detailed understanding of the relevant agreements involving the special-purpose entities to be able to analyze the requirements of the financial reporting framework. The financial reporting framework often includes detailed conditions or circumstances under which the special-purpose entity applies for consolidation.

This appendix gives further guidance regarding business objectives, strategies, critical success factors and the expectations of key stakeholders (UTB 1.1d).

We obtain an understanding of the entity's objectives and strategies in order to focus our understanding of the business on matters that are most important to the entity and our audit and to identify possible business risks that may result in risks of material misstatement in the financial statements.

For the entity's important business strategies, we consider whether the entity has identified critical success factors and the key results to be achieved to conclude that strategies have been implemented successfully. We consider these critical success factors further when we identify how management measures the financial performance of the business (UTB 1.1e).

In obtaining an understanding of the entity's objectives and strategies, we may obtain an understanding of management's view on the following:

- Sources of customer satisfaction
- Effectiveness and efficiency of its business processes
- Improvement and innovation achievements
- Drivers of value for shareholders
- Needs of regulators

We verify the consistency with the entity's most important business objectives by obtaining information regarding:

- The entity's strategies
- The identified needs and expectations of the entity's key stakeholders and their response to important known internal and external conditions
- The entity's financial and operational aspects
- Known risks and opportunities

We consider whether inconsistencies between objectives and strategies or the lack of objectives that are responsive to known risks and opportunities, give rise to risks of material misstatement.

In obtaining an understanding of the entity's objectives and strategies, we also consider the influences of key stakeholders on management's actions. To assist us in identifying the entity's key stakeholders we discuss with entity's management the following:

- The reason why they are key stakeholders
- How they may influence management's actions

- The potential business and/or risks of material misstatement in the financial statements

When we obtain an understanding of the influences of key stakeholders, we are aware of:

- Unrealistic stakeholder expectations. If key stakeholders' expectations are unrealistic, the potential for business risks and risks of material misstatement are greater. Such risks often result from management's actions in setting strategies responsive to such unrealistic expectations.
- Conflicting stakeholder influences. Key stakeholders' conflicting influences can create business risk, with potential risks of material misstatement in the financial statements.
- Aligned stakeholder influences. Even when the key stakeholders' influences and expectations are in alignment, these influences may lead to business risks, with potential risks of material misstatement in the financial statements.

This appendix provides further guidance for the procedures we may perform regarding measurement and review of the entity's financial performance in obtaining an understanding of the entity and its environment (UTB 1.1e).

We perform procedures, such as:

- Obtaining an understanding of key measures of financial performance that are important to management. We inquire of management regarding the financial performance measures they monitor and about other areas of financial performance that are important to management. We are aware of the effect on management's measures that may arise from our understanding of key stakeholders' expectations/needs, including those of analysts when appropriate.
- Obtaining an understanding of how management uses measures to review financial performance by discussing how reviews take place (meetings, presentations, conference calls), frequency of reviews (monthly, quarterly, annually), and who performs the review.

At this stage we want to obtain a high-level understanding of how management determines that the underlying data used in the calculations of the performance indicators and measures are appropriate and accurate.

The purpose of our discussion with management is to determine the effect management's measurement process has on our identification of business risks and risks of material misstatement.[40](#)

A negative response to any of these considerations indicates a potential deficiency in the control environment and we consider these factors in ELC.

When we determine that management's monitoring of the key performance indicators is a control that can address one or more risks of material misstatement at the assertion level (i.e., WCGWs), we perform additional procedures. Refer to CONTROLS.

As we obtain an understanding of the entity's performance indicators, we consider factors, such as:

- The availability of internally-generated information used by management for measuring and reviewing financial performance
- The availability of external information, such as analysts' reports and credit rating agency reports, used by external parties to measure and review the entity's financial performance
- Management actions that increase the risks of material misstatement, including those due to fraud, as a result of the performance indicators, particularly the pressure to achieve the performance indicators
- Management's reaction to unexpected results or trends highlighted by the internal measurement and review

Indications for existence of risks of material misstatement of the financial statements

The following are examples of conditions and events that may indicate the existence of risks of material misstatement in the financial statements. The examples provided cover a broad range of conditions and events; however, not every condition and event is relevant to every entity and the list of examples is not exhaustive.

- Operations in regions that are economically unstable, for example, countries with significant currency devaluation or highly inflationary economies
- Operations exposed to volatile markets (e.g., futures trading)
- Operations that are subject to a high degree of complex regulation
- Going concern and liquidity issues including loss of significant customers
- Constraints on the availability of capital and credit
- Changes in the industry in which the entity operates
- Changes in the supply chain
- Developing or offering new products or services, or moving into new lines of business
- Expanding into new locations
- Changes in the entity such as large acquisitions or reorganizations or other unusual events
- Components or business segments likely to be sold
- The existence of complex alliances and joint ventures
- Use of off-balance-sheet financing, special-purpose entities and other complex financing arrangements
- Significant transactions with related parties
- Lack of personnel with appropriate accounting and financial reporting skills
- Changes in key personnel including departure of key executives
- Deficiencies in internal control, especially those not addressed by management
- Incentives for management and employees to engage in fraudulent financial reporting
- Inconsistencies between the entity's IT strategy and its business strategies
- Changes in the IT environment
- Installation of significant new IT systems related to financial reporting
- Inquiries into the entity's operations or financial results by regulatory or government bodies
- Past misstatements, history of errors or a significant amount of adjustments at period end⁴¹
- Significant amount of non-routine or non-systematic transactions including intercompany transactions and large revenue transactions at period end
- Transactions that are recorded based on management's intent, for example, debt refinancing, assets to be sold and classification of marketable securities
- Application of new accounting pronouncements
- Accounting measurements that involve complex processes
- Events or transactions that involve significant measurement uncertainty, including accounting estimates, and related disclosures
- Omission, or obscuring, of significant information in disclosures

Pending litigation, claims and assessments, and contingent liabilities, for example, sales warranties, financial guarantees and environmental remediation

Group audit considerations

For further requirements and guidance, refer to GROUP UTB Appendix 1

Footnotes

- 2 ISA 250.13, ISA 315.11, AICPA AU-C 250.12, AICPA AU-C 315.12, PCAOB AS 2201.09, PCAOB AS 2110.07
- 3 ISA 250.14, ISA 250.15, AICPA AU-C 250.12, AICPA AU-C 250.13, AICPA AU-C 250.14, PCAOB AS 2201.09, PCAOB AS 2405.08, PCAOB 2101.07
- 4 ISA 250.20, AICPA AU-C 250.18, PCAOB AS 2405.10, PCAOB AS 2405.17
- 5 ISA 315.11, AICPA AU-C 315.12, PCAOB 2101.07, PCAOB AS 2110.07, PCAOB AS 2110.10
- 6 ISA 315.11, ISA 540.8, ISA 240.26, AICPA AU-C 315.12, AICPA AU-C 540.08, PCAOB AS 2502.15, PCAOB AS 2110.07, PCAOB AS 2110.12, PCAOB AS 2301.05, PCAOB AS 2810.04, PCAOB AS 2810.24, PCAOB AS 2801.25, PCAOB AS 2801.26
- 7 LYCA Policy (IFRS Q&A 8.14-1, APM 2.6)
- 8 ISA 315.11, AICPA AU-C 315.12, PCAOB AS 2110.07, PCAOB AS 2110.14
- 9 ISA 315.11, AICPA AU-C 315.12, PCAOB AS 2110.07
- 10 LYCA Policy
- 11 ISA 240.22, ISA 315.6, AICPA AU-C 240.22, AICPA AU-C 315.06, PCAOB AS 2110.46 , PCAOB AS 2110.48
- 12 ISA 240.22, AICPA AU-C 240.22, PCAOB AS 2110.47
- 13 PCAOB AS 2110.47
- 14 ISA 550.11, AICPA AU-C 550.12
- 15 ISA 570.10, AICPA AU-C 570.08, PCAOB AS 2415.03
- 16 ISA 315.18, AICPA AU-C 315.19, PCAOB AS 2110.B5
- 17 ISA 315.6, AICPA AU-C 315.06, PCOAB AS 2110.54
- 18 ISA 315.7, AICPA AU-C 315.07, PCAOB AS 2201.09
- 19 ISA 315.8, AICPA AU-C 315.08, PCAOB AS 2201.09, PCAOB AS 2110.44
- 20 ISA 315.32, AICPA AU-C 315.33
- 21 ISA 240.23, AICPA AU-C 240.23, PCAOB AS 2110.45
- 22 PCAOB AS 2110.55
- 23 ISA 315.23, AICPA AU-C 315.24
- 24 ISA 315.5, ISA 315.25, ISA 315.26, AICPA AU-C 315.05, AICPA AU-C 315.26, AICPA AU-C 315.27 PCAOB AS 2110.04
- 25 ISA 315.27, AICPA AU-C 315.28, PCAOB AS 2110.59, PCAOB AS 2110.70
- 26 ISA 315.28, AICPA AU-C 315.29, PCAOB AS 2110.71
- 27 ISA 240.27, ISA 550.18, AICPA AU-C 240.30, AICPA AU-C 315.29, AICPA AU-C 550.20
- 28 ISA 315.25, AICPA AU-C 315.26
- 29 ISA 315.32, AICPA AU-C 315.33
- 30 ISA 315.32, AICPA AU-C 315.33
- 31 ISA 550.28, AICPA AU-C 550.28
- 32 ISA 570.10
- 33 ISA 315.32, AICPA AU-C 315.33
- 34 ISA 315.32, AICPA AU-C 315.33
- 35 ISA 315.32, AICPA AU-C 315.33
- 36 ISA 315.32, AICPA AU-C 315.33
- 37 ISA 315.32, AICPA AU-C 315.33

- 38 ISA 600.17, AICPA AU-C 600.20
- 39 ISA 315.32, AICPA AU-C 315.33, PCAOB AS 2110.42, PCAOB AS 2110.43
- 40 PCAOB AS 2110.16
- 41 PCAOB AS 2110.42